
Question #1 of 120

Question ID: 1214436

Questions 1 through 18 relate to Ethical and Professional Standards. (27 minutes)

Moe Girard, CFA, works in a large group that decides on recommendations by consensus. Girard does not always agree with the group consensus, but he is confident in the group's analytical ability. To comply with the Code and Standards when the group issues a recommendation with which he disagrees, Girard:

- A) does not need to take any action.
- B) must request that his name be removed from the group's report.
- C) should include his independent opinion as an appendix to the group's report.

Question #2 of 120

Question ID: 1214426

A professional organization *most appropriately* enforces upon its members:

- A) legal standards only.
- B) ethical standards only.
- C) both legal and ethical standards.

Question #3 of 120

Question ID: 1214441

Thomas Baker recently passed the Level III CFA examination. Baker is reviewing a draft of the firm's marketing material to be distributed after he receives his CFA charter. One passage reads, "Baker is especially proud of the fact that he passed all three Levels of the exam on his first attempts in three consecutive years." Is this statement in compliance with CFA Institute Standards?

- A) Yes, as long as it is a statement of fact.
- B) No, because it implies that Baker has superior ability.
- C) No, because Members or Candidates who passed the exams on their first attempts may not differentiate themselves from those who did not.

Question #4 of 120

Question ID: 1214427

Jimmy Deininger, CFA, manages several client portfolios. One of his clients offers him use of a cabin in a vacation spot because the client's investment results under Deininger's management have exceeded the client's goals. Deininger discloses the gift to his employer. With reference to the Standards of Practice, Deininger:

- A) has complied with the Standards and may accept the gift.
 - B) is not permitted to accept the gift because he does not have permission from his employer.
 - C) has appropriately disclosed the gift to his supervisor, but must also disclose it to his other clients.
-

Question #5 of 120

Question ID: 1214437

Carlos Mendez, CFA, is beginning an investment advisory relationship with a new client and plans to formulate an investment policy statement (IPS) for the client. According to the Standard concerning suitability, Mendez is *least likely* to consider the client's:

- A) regulatory and legal circumstances.
 - B) conflicts of interest.
 - C) performance measurement benchmarks.
-

Question #6 of 120

Question ID: 1214442

Which of the following statements about the nine major sections of GIPS is *least accurate*? The major section on:

- A) calculation methodology addresses how to determine portfolio and composite returns.
 - B) presentation and reporting encourages firms to include more information than is required by GIPS when appropriate.
 - C) derivatives addresses which valuation methods are appropriate for custom instruments and thinly traded contracts.
-

Question #7 of 120

Question ID: 1214438

Ann Dunbar, a portfolio manager, wishes to buy stock of Knight Enterprises for her personal account and for clients. Knight is a thinly traded stock. Dunbar believes her own purchase is too small to affect the price but the purchase for clients is likely to increase the price. According to the Code and Standards, when may Dunbar buy the stock for her personal account?

- A) After the buy order for her clients is executed.
 - B) At the same time she enters the buy order for her clients.
 - C) She may not buy the same stock that she buys for her clients.
-

Question #8 of 120

Question ID: 1214429

Telling potential investors that a short-term U.S. Treasury fund contains "guaranteed" securities:

- A) does not violate any Standard.
 - B) violates the Standards by misrepresenting the securities in the fund.
 - C) violates the Standards by failing to consider the suitability of the fund for potential investors.
-

Question #9 of 120

Question ID: 1214439

Sean Jones places an order with his investment advisor Lisa Johnson, CFA, to buy 1,000 shares of Orkle Incorporated. Johnson's firm makes a market in Orkle and she executes the trade through her own firm. According to the Code and Standards, Johnson should:

- A) disclose her firm's market making activities to Jones.
 - B) contact her firm's compliance department before accepting the order.
 - C) decline to execute trades in securities for which her firm makes a market.
-

Question #10 of 120

Question ID: 1214431

A portfolio manager of a city's police pension fund owes his duty of loyalty to the:

- A) city's taxpayers.
 - B) pension trustees.
 - C) plan beneficiaries.
-

Question #11 of 120

Question ID: 1214430

Riley and Smith, a broker-dealer, is bringing to market a secondary offering for All Pro Company. One of the reasons All Pro selected the firm to lead the offering is because Riley and Smith has been a market maker for All Pro's stock for the past five years. The firm is in possession of material nonpublic information relevant to All Pro's offering. To be in compliance with the Code and Standards, Riley and Smith:

- A) may not serve as underwriter for the same stock in which it acts as a market maker.
 - B) should continue to serve as market maker but take only the contra side of unsolicited customer trades.
 - C) should abstain from making a market in All Pro stock during the offering period but may resume market making activities after the offering.
-

Question #12 of 120

Question ID: 1214432

Matt O'Neill, CFA, is an advisor for Century Investments, a retail financial services firm. Century has a firmwide policy that its advisors recommend the firm's own investment products to clients unless Century does not offer a product suitable for the client's needs. Can

O'Neill follow his firm's policy without violating the Code and Standards?

- A) Yes, if O'Neill discloses this policy to his clients.
 - B) Yes, if his firm's offerings are competitive with other available products.
 - C) No, because the policy conflicts with the Standard on loyalty, prudence, and care.
-

Question #13 of 120

Question ID: 1214428

After working 20 years on Wall Street, Jim Gentry, CFA, decides to open his own investment firm on Turtle Island, located in the Caribbean. Turtle Island has securities laws that are much less stringent than U.S. laws or the CFA Institute Standards of Professional Conduct. Many of his U.S.-based clients have agreed to keep Gentry as their portfolio manager and move their assets to his new firm. After a few months of operations, Gentry has encountered several instances in which Turtle Island regulations relieve him of disclosing information to investors that he had been required to disclose while working in New York. According to the CFA Institute Code and Standards, Gentry must adhere to the:

- A) Code and Standards or U.S. law, whichever is more strict.
 - B) laws of Turtle Island, but disclose any discrepancies to U.S.-based clients.
 - C) Code and Standards because as a charterholder, he need only adhere to the Code and Standards under all circumstances.
-

Question #14 of 120

Question ID: 1214440

Wayne Sergeant, CFA, is an independent investment advisor who works with individuals. A longtime client asks Sergeant if he can recommend an attorney. Sergeant refers his client to Jim Chapman, a local attorney who is also a friend of Sergeant's. Previously, Chapman had agreed to perform some legal work for Sergeant in exchange for the referral of new clients. Do Sergeant's actions violate CFA Institute Standards of Professional Conduct?

- A) No, because the client is under no obligation and is still free to select another attorney.
 - B) Yes, because Sergeant is making a recommendation that is not independent and objective.
 - C) Yes, because Sergeant did not disclose the nature of his arrangement with Chapman to his client.
-

Question #15 of 120

Question ID: 1214443

Which of the following statements is *most accurate* regarding the GIPS requirement for definition of the firm?

- A) The firm must be the distinct business entity held out to clients.
- B) If a firm has offices in different geographical locations, the firm definition may include just the primary location where all the investment decisions are made.
- C) The firm definition may include the corporation or a subsidiary of the corporation, but the firm cannot be defined as simply a "division" of the corporation.

Question #16 of 120

Question ID: 1214434

Ron Brenner, CFA, manages portfolios for individuals. One of his clients, John Perlman, offers Brenner several inducements above those provided by his employer to motivate superior future performance in managing his portfolio. Brenner notifies his manager via e-mail about the terms of this offer, and his employer grants permission. According to the Standard on additional compensation arrangements, Brenner:

- A) must notify "all parties involved," which includes his other clients.
- B) has taken all the actions required to accept the arrangement.
- C) should decline this arrangement because it could cause partiality in the handling of other client accounts.

Question #17 of 120

Question ID: 1214435

Denise Chavez, CFA, is the senior energy analyst for a major brokerage firm. Chavez is also a social and environmental activist, and is opposed to coal-fired power plants. She has been arrested twice for trespassing during organized pickets at some of these power plants. Chavez has recently accepted a volunteer position as Board member of Greensleeves, a foundation that lobbies governments on environmental issues. The position will involve significant volunteer hours, including some travel. Are Chavez's activities consistent with CFA Institute Standards?

- A) Chavez violated the Standards by being arrested, but the volunteer Board position is not a violation.
- B) The environmental activism is not a violation, but the Standards prohibit Chavez from accepting the Board position.
- C) The activism and subsequent arrests are not a violation, but Chavez must disclose the Board position to her employer.

Question #18 of 120

Question ID: 1214433

With respect to a client's confidential information, if a member or candidate believes a client is engaging in illegal activity, the member should *most appropriately*:

- A) preserve the client's confidentiality.
- B) report the client to the appropriate governmental authorities.
- C) seek advice from his firm's legal counsel or compliance department.

Question #19 of 120

Question ID: 1214451

Questions 19 to 30 relate to Quantitative Methods. (18 minutes)

George Reilly, CFA, manages the Ivy Foundation portfolio. The Ivy Foundation has a minimum acceptable return of 7%. The current risk-free rate is 6%. Reilly assumes that returns are normally distributed and wants to choose the optimal portfolio for the foundation.

The *best* approach Reilly should take is to choose the portfolio that:

- A) maximizes the Sharpe ratio.
- B) maximizes the safety-first ratio.
- C) minimizes the standard deviation of returns.

Question #20 of 120

Question ID: 1214450

A continuous uniform distribution is bounded by zero and 20. The probability of an outcome equal to 12 is *closest* to:

- A) 0.00.
- B) 0.05.
- C) 0.60.

Question #21 of 120

Question ID: 1214455

The chi-square test *least likely*:

- A) uses a distribution with a lower bound of zero.
- B) is used to test whether a variance equals a certain value.
- C) can be used to make inferences even if the population is not normally distributed.

Question #22 of 120

Question ID: 1214449

The joint probability distribution for the return of two retail stocks, A-Marts and Shops R Us, is provided below.

Retail Scenario	Probability	Return for A-Marts	Return for Shops R Us
Good	0.35	0.20	0.10
Average	0.50	0.04	0.02
Poor	0.15	−0.20	−0.10

The covariance between returns for A-Marts and Shops R Us is:

- A) less than 0.
- B) at least 0, but less than 0.01.
- C) greater than 0.01.

Question #23 of 120

Question ID: 1214444

Frank Jones is considering three separate investments. Investment 1 pays a stated annual interest rate of 6.1%, compounded annually. Investment 2 pays a stated annual interest rate of 6.0%, compounded monthly. Investment 3 pays a stated annual interest rate of 5.9%, compounded quarterly. Which investment should Smith choose?

- A) Investment 1.
 - B) Investment 2.
 - C) Investment 3.
-

Question #24 of 120

Question ID: 1214452

When estimating a population mean or constructing a confidence interval based on the central limit theorem:

- A) the midpoint of a confidence interval is a point estimate of the population parameter.
 - B) the degree of significance is the probability that the actual value of the parameter lies within the confidence interval.
 - C) a point estimate with a 95% degree of confidence is more accurate than a point estimate with a 90% degree of confidence.
-

Question #25 of 120

Question ID: 1214454

An analyst has a sample of 28 observations with a sample mean of 14.2% and a sample variance of 0.00131. For a test about the population mean, she should use:

- A) a *t*-test if the population is normally distributed.
 - B) a *z*-test if the population is normally distributed.
 - C) either a *z*-test or a *t*-test regardless of the population distribution..
-

Question #26 of 120

Question ID: 1214447

For a skewed distribution that has excess kurtosis, the minimum percentage of the distribution within three standard deviations of the mean is *closest* to:

- A) 68%.
 - B) 89%.
 - C) 99%.
-

Question #27 of 120

Question ID: 1214445

Kidra Rao ranks and classifies firms into ten groups based on their interest coverage ratios, lowest to highest. Rao's ranking system is *best* described as:

- A) a ratio scale.
 - B) a nominal scale.
 - C) an ordinal scale.
-

Question #28 of 120

Question ID: 1214446

The harmonic mean of 20, 25, and 30 is *closest* to:

- A) 24.32.
 - B) 24.48.
 - C) 24.66.
-

Question #29 of 120

Question ID: 1214453

If a one-tailed z-test uses a 5% significance level, the test will reject a:

- A) true null hypothesis 5% of the time.
 - B) false null hypothesis 95% of the time.
 - C) true null hypothesis 95% of the time.
-

Question #30 of 120

Question ID: 1214448

Tony Borden, CFA, is analyzing the earnings of two companies. For each company, Borden estimates a probability that its earnings will exceed the consensus estimate. To estimate the probability that at least one of the companies will exceed its earnings estimate, Borden should use the:

- A) total probability rule.
 - B) addition rule of probability.
 - C) multiplication rule of probability.
-

Question #31 of 120

Question ID: 1214459

Questions 31 through 42 relate to Economics. (18 minutes)

Based on the aggregate demand/aggregate supply model:

- A) an inflationary or recessionary gap may exist in the long run.
- B) actual real GDP is equal to potential real GDP in the long run.
- C) no upward or downward pressure on the price level is present at short-run equilibrium.

Question #32 of 120

Question ID: 1214457

A manufacturing plant exhibits diseconomies of scale if long-run average cost (LRAC) is:

- A) decreasing as output increases, and the plant is at its minimum efficient scale if LRAC is at its lowest level.
- B) decreasing as output increases, and the plant is at its minimum efficient scale if LRAC is decreasing over the entire range of output.
- C) increasing as output increases, and the plant is at its minimum efficient scale if LRAC is at its lowest level.

Question #33 of 120

Question ID: 1214464

Placing a tariff on imports of a good is *most likely* to decrease:

- A) producer surplus for domestic producers of the good.
- B) quantity of the good supplied by domestic producers.
- C) quantity of the good demanded in the domestic market.

Question #34 of 120

Question ID: 1214462

The velocity of transactions in an economy has been increasing rapidly for the past seven years. Over the same time period, the economy has experienced minimal growth in real output. According to the equation of exchange, inflation over the last seven years has:

- A) increased more than the growth in the money supply.
- B) been minimal, consistent with the slow growth in real output.
- C) increased at a rate similar to the growth rate in the money supply.

Question #35 of 120

Question ID: 1214466

Consider two currencies, the VKN and the PKR. The PKR is trading at an annual premium of 2.3% relative to the VKN in the forward market. The 1-year risk-free PKR rate is 3.0%. If no arbitrage opportunities are available, the current 1-year risk-free VKN interest rate is *closest* to:

- A) 0.7%.
 - B) 2.3%.
 - C) 5.3%.
-

Question #36 of 120

Question ID: 1214458

Wilmer Jones owns several restaurants in different cities. His restaurants compete on quality of food and service, price, and marketing. Competitors can enter and exit his markets, and there are usually several competitors in each market. His market structure can *best* be characterized as:

- A) perfect competition.
 - B) monopolistic competition.
 - C) oligopoly.
-

Question #37 of 120

Question ID: 1214456

When two goods are complements, the cross elasticity of demand is:

- A) positive, and for substitutes the cross price elasticity of demand is negative.
 - B) negative, and for substitutes the cross price elasticity of demand is negative.
 - C) negative, and for substitutes the cross price elasticity of demand is positive.
-

Question #38 of 120

Question ID: 1214465

With regard to the balance of payments, the purchase of rights to natural resources in a country by foreigners would be *most likely* to affect the country's:

- A) capital account.
 - B) current account.
 - C) financial account.
-

Question #39 of 120

Question ID: 1214467

The three-month interest rate in the currency MNO is 4% and the three-month interest rate for the currency PQR is 5%. Based only on this information, the three-month forward MNO/PQR exchange rate:

- A) is less than spot MNO/PQR.
 - B) is greater than spot MNO/PQR.
 - C) may be greater than or less than spot MNO/PQR.
-

Question #40 of 120

Question ID: 1214463

A central bank's policy rate is considered expansionary if it is less than:

- A) the central bank's target inflation rate.
 - B) the long-term growth rate of real economic output.
 - C) the sum of the long-term growth rate of real economic output and the target inflation rate.
-

Question #41 of 120

Question ID: 1214460

An analyst who expects the economy to experience stagflation should *most appropriately* recommend investing in:

- A) bonds.
 - B) equities.
 - C) commodities.
-

Question #42 of 120

Question ID: 1214461

The consumer price index is *best* described as:

- A) the inflation rate for a given period of time.
 - B) an unbiased estimate of changes in the cost of living.
 - C) a weighted average cost for a basket of goods and services.
-

Question #43 of 120

Question ID: 1214476

Questions 43 through 60 relate to Financial Reporting and Analysis. (27 minutes)

To compute cash collections from customers when converting a statement of cash flows from the indirect to the direct method, an analyst begins with:

- A) net income and adds back non-cash expenses.
 - B) sales, subtracts any increase in accounts receivable, and adds any increase in unearned revenue.
 - C) cost of goods sold, subtracts any increase in accounts payable, adds any increase in inventory, and subtracts any inventory write-offs.
-

Question #44 of 120

Question ID: 1214472

Items that appear in other comprehensive income, but are excluded from the income statement, include:

- A) losses due to expropriation of assets.
- B) gains and losses due to foreign currency translation.
- C) unrealized gains and losses on trading securities.

Question #45 of 120

Question ID: 1214485

Other things equal, which of the following conditions would place a company highest on a spectrum of financial reporting quality?

- A) Reported earnings that are not sustainable.
- B) Efforts by management to keep net income steady over time.
- C) Financial statements that reflect the company's economic activities accurately but are not in compliance with accounting principles.

Question #46 of 120

Question ID: 1214480

A company purchases an asset in the first quarter and decides to capitalize the asset. Compared to expensing the asset cost, capitalizing the asset cost will result in higher cash flows in the first quarter from:

- A) investing.
- B) financing.
- C) operations.

Question #47 of 120

Question ID: 1214470

On a firm's income statement, sales minus cost of goods sold, minus selling, general, and administrative expenses, is *most appropriately* referred to as:

- A) gross profit.
- B) operating profit.
- C) income before tax.

Question #48 of 120

Question ID: 1214483

XYZ Company has decided to issue \$10 million of unsecured bonds. If issued today, the 4% semi-annual coupon bonds would require a market interest rate of 12%. Under U.S. GAAP, how will these bonds affect XYZ's statement of cash flows?

- A) The coupon payments will decrease operating cash flow each year and the discount will decrease financing cash flow at maturity.
- B) The periodic interest expense will decrease operating cash flow and the discount will decrease financing cash flow at maturity.
- C) The coupon payments and the discount amortization will decrease financing cash flow each year.

Question #49 of 120

Question ID: 1214479

Data for a manufacturing industry indicate that inventories of work in progress are increasing faster than sales. This is *most likely* to indicate that:

- A) the business cycle is at a peak.
 - B) inventory is becoming obsolete.
 - C) firms expect demand to increase.
-

Question #50 of 120

Question ID: 1214473

A classified balance sheet categorizes assets and liabilities based on whether they are:

- A) current or non-current items.
 - B) measured at cost or fair value.
 - C) internally generated or acquired.
-

Question #51 of 120

Question ID: 1214484

Under IFRS, a lessor will remove the leased asset from its balance sheet and record interest income from the lease only if the lease is classified as:

- A) a finance lease.
 - B) a sales-type lease.
 - C) an operating lease.
-

Question #52 of 120

Question ID: 1214474

Jansen Co., a manufacturer of high-end sports equipment, earned \$45 million in net income for the year. The company paid out \$1.30 per share in dividends. Jansen issued 500,000 shares at the beginning of the year at \$20 (1 million shares were outstanding before the issuance). The market value of Jansen's trading securities decreased by \$2.4 million. The increase in Jansen's stockholders' equity is *closest* to:

- A) \$43 million.
 - B) \$51 million.
 - C) \$53 million.
-

Question #53 of 120

Question ID: 1214468

Mullins Company's financial statements include an auditor's report with a qualified opinion. This *most likely* implies that the:

- A) auditor is reasonably assured that the financial statements are free of material errors.
 - B) financial statements include exceptions to the applicable accounting standards but are presented fairly.
 - C) financial statements are materially out of compliance with the applicable accounting standards and are not presented fairly.
-

Question #54 of 120

Question ID: 1214475

Use of the indirect method of presenting cash flows from operating activities:

- A) is encouraged by both the IASB and FASB.
 - B) illustrates the reasons for the difference between net income and operating cash flow.
 - C) requires disclosure of the cash flows that would be presented using the direct method.
-

Question #55 of 120

Question ID: 1214471

A firm has undertaken a contract with an estimated total cost of \$500 million at a price of \$800 million. At the end of the first reporting period, the firm has devoted resources of \$180 million to the project. The customer has been billed for \$250 million and made payments of \$160 million. The amount of revenue the firm should record for the period is *closest* to:

- A) \$180 million.
 - B) \$250 million.
 - C) \$290 million.
-

Question #56 of 120

Question ID: 1214478

Inventory cost is *most likely* to include:

- A) storage costs for finished goods until they are actually sold.
 - B) shipping cost for delivery to the customer.
 - C) an allocation of fixed production overhead.
-

Question #57 of 120

Question ID: 1214469

Which of the following statements *most accurately* describes the general features of financial statements under IFRS?

- A) All of the required financial statements are prepared using accrual accounting.

- B)** Assets may not be offset against liabilities unless specifically permitted or required by a standard.
- C)** Prior-period information may only be presented when specifically permitted or required by a standard.
-

Question #58 of 120

Question ID: 1214482

Dot Corporation uses accelerated depreciation for tax purposes and straight-line depreciation for financial reporting. The company has a large cash position which is invested in tax-free municipal bonds. With regard to Dot's financial statements and tax reporting:

- A)** both the interest income and the depreciation method will necessitate the use of a valuation allowance account.
- B)** the interest income will result in a deferred tax asset and the depreciation method will result in a deferred tax liability.
- C)** the depreciation expense causes a temporary difference between income tax expense and taxes payable, and the interest income creates a permanent difference.
-

Question #59 of 120

Question ID: 1214477

Bivac Corp. has been experiencing a declining return on equity over the past few years. Selected financial statement ratios for Bivac appear below:

	Prior Year	Current Year
Tax Burden	0.60	0.62
Interest Burden	0.80	0.81
EBIT Margin	0.26	0.26
Asset Turnover	1.06	1.06
ROE	0.15	0.14

What is the *most likely* reason for the decline in Bivac's ROE?

- A)** Leverage has declined.
- B)** The tax rate has increased.
- C)** Net profit margin has declined.
-

Question #60 of 120

Question ID: 1214481

Stone Development Company owns four office buildings and a tract of raw land. Stone occupies one of the buildings, collects rental income from the other three buildings, and is holding the land for capital appreciation. Under IFRS, which of these assets should Stone classify as investment property on its balance sheet?

- A) All of these assets.
 - B) Only the land held for capital appreciation.
 - C) The land and the buildings that generate rental income.
-

Question #61 of 120

Question ID: 1214489

Questions 61 through 72 relate to Corporate Finance. (18 minutes)

ChemCo is evaluating a project based on the principles of capital budgeting. ChemCo should accept the project if it has a:

- A) net present value equal to zero.
 - B) profitability index greater than one.
 - C) required rate of return greater than its internal rate of return.
-

Question #62 of 120

Question ID: 1214496

Mentemeyer Corporation is a small firm that needs to increase short-term liquidity but has weak credit. The source of short-term financing that would *most likely* be available to Mentemeyer is:

- A) commercial paper.
 - B) nonbank finance companies.
 - C) a revolving credit agreement.
-

Question #63 of 120

Question ID: 1214488

Johnson's Jar Lids is deciding whether to begin producing jars. Johnson's pays a consultant \$50,000 for market research that concludes Johnson's sales of jar lids will increase by 5% if it also produces jars. In choosing the cash flows to include when evaluating a project to begin producing jars, Johnson's should:

- A) include both the cost of the market research and the effect on the sales of jar lids.
 - B) include the cost of the market research and exclude the effect on the sales of jar lids.
 - C) exclude the cost of the market research and include the effect on the sales of jar lids.
-

Question #64 of 120

Question ID: 1214497

While analyzing HMS Inc., Fred Browne notes that the company's liquidity as measured by its quick ratio has decreased over time while its current liabilities have remained constant. This could be explained by:

- A) a decrease in inventory.
- B) an increase in marketable securities.

C) a decrease in accounts receivable.

Question #65 of 120

Question ID: 1214490

Over the next year, Thatherton Co. is expecting their marginal tax rate to increase by 5%. Also, over the next 12 months, Thatherton plans to undertake several expansion projects significantly more risky than previous projects. Thatherton Co.'s current capital structure includes 40% debt and 60% equity. Which of the following statements *correctly* summarizes the effect these changes will have on the company's marginal cost of capital?

- A) The increasing tax rate will increase the MCC.
 - B) The riskier projects will increase the MCC.
 - C) Both the increasing tax rate and the riskier projects will increase the MCC.
-

Question #66 of 120

Question ID: 1214486

Which of the following is *most likely* to create an incentive for senior managers to act in the best interests of shareholders?

- A) A one-tier board structure.
 - B) The threat of a hostile takeover.
 - C) A cash bonus for meeting short-term performance targets.
-

Question #67 of 120

Question ID: 1214494

Operating risk is *most likely* to increase as a result of:

- A) an increase in sales risk.
 - B) increased variability of costs.
 - C) an increase in fixed production costs.
-

Question #68 of 120

Question ID: 1214491

The following data are reported for Moving Vans, Inc.:

Dividend yield 5%
Dividend payout 20%
Return on equity 15%

Assuming Moving Vans' dividend yield, dividend payout, and return on equity will remain constant indefinitely, the cost of equity capital is *closest* to:

- A) 15%.
 - B) 17%.
 - C) 19%.
-

Question #69 of 120

Question ID: 1214493

The asset beta of a firm equals its equity beta if:

- A) the company has no debt.
 - B) the company has no equity.
 - C) the company's debt equals its equity.
-

Question #70 of 120

Question ID: 1214487

Joanne Soto is responsible for implementing her firm's environmental, social, and governance (ESG) investing goals. Soto decides on a best-in-class approach to ESG investing. Soto will *most likely* instruct her firm's portfolio managers to use:

- A) positive screening.
 - B) full integration.
 - C) active ownership.
-

Question #71 of 120

Question ID: 1214495

Archer Company produces components that sell for \$3.50 per unit. Archer has fixed financing costs of \$125,000 and fixed operating costs of \$275,000. Archer's variable costs are \$2.50 per unit. Archer will:

- A) break even if it sells 275,000 units.
 - B) experience a net loss if it sells 325,000 units.
 - C) earn positive net income if it sells 375,000 units.
-

Question #72 of 120

Question ID: 1214492

A firm has one actively traded bond issue outstanding, with a 6% coupon and a yield to maturity of 5%. When estimating the firm's weighted average cost of capital (WACC), the appropriate after-tax cost of debt capital should *most likely* be:

- A) between 5% and 6%.
- B) less than 5%.
- C) equal to 6%.

Question #73 of 120

Question ID: 1214500

Questions 73 through 85 relate to Equity Investments. (19.5 minutes)

Which type of stock index must be adjusted for stock splits?

- A) Equal weighted index.
 - B) Price weighted index.
 - C) Market capitalization weighted index.
-

Question #74 of 120

Question ID: 1214502

Aros Funds manages a family of mutual funds and employs a team of fundamental analysts, who research firms by analyzing financial statements and SEC filings. Under which form(s) of the efficient market hypothesis (EMH) would Aros Funds have the potential to achieve positive risk-adjusted returns consistently using fundamental analysis?

- A) Weak form only.
 - B) Semistrong form and weak form.
 - C) No form of the EMH is consistent with earning positive risk-adjusted returns using fundamental analysis.
-

Question #75 of 120

Question ID: 1214504

An investor in a sponsored depository receipt (DR):

- A) holds the voting rights for the DR shares.
 - B) must obtain the foreign currency in which the DR is traded.
 - C) should be familiar with market procedures and regulations in the DR issuer's country.
-

Question #76 of 120

Question ID: 1214508

Ian Goode, CFA, is analyzing the price of the preferred stock of MegaGym. Goode estimates that MegaGym's earnings growth rate over the next five years will be 20%, and that MegaGym's earnings will then grow at a sustainable rate of 5%. The *most appropriate* method for Goode to value MegaGym's preferred stock is to:

- A) use a justified price-to-earnings multiple.
 - B) use a multistage dividend discount model with 20% growth for five years and 5% thereafter.
 - C) divide the preferred dividend by the required rate of return on MegaGym's preferred stock.
-

Question #77 of 120

Question ID: 1214505

Industry rotation is *best* described as the:

- A) adjusting the industry weights in a portfolio based on the current stage of the business cycle.
 - B) recommended practice of periodically changing the industries that investment analysts are assigned to cover.
 - C) long-term trend of talented managers and employees exiting mature and declining industries and entering embryonic and growth industries.
-

Question #78 of 120

Question ID: 1214503

Sacco, Inc., has nine directors on its board. Three seats are elected annually using a cumulative voting system. An investor who owns 600 shares of Sacco common stock may give a maximum of:

- A) 600 votes to a single board candidate.
 - B) 1,800 votes to a single board candidate.
 - C) 600 votes to a candidate for each board seat.
-

Question #79 of 120

Question ID: 1214501

Which of the following types of index is *least likely* to require frequent reconstitution of constituent securities?

- A) Equity index.
 - B) Commodity index.
 - C) Fixed income index.
-

Question #80 of 120

Question ID: 1214498

An electronic crossing network is *best* described as:

- A) a price-driven market.
 - B) a quote-driven market.
 - C) an order-driven market.
-

Question #81 of 120

Question ID: 1214507

An investor places a market order to buy a stock on the holder-of- record date for the stock's next dividend. Is the investor entitled to receive this dividend?

- A) No, because the order is placed after the declaration date.
 - B) No, because the order is settled after the holder-of-record date.
 - C) Yes, because the order is executed on the holder-of-record date.
-

Question #82 of 120

Question ID: 1214499

Kate Johnson, CFA, owns shares of a stock that currently trades at \$15. If Johnson wants to buy more shares if the price increases to \$17, she should enter a:

- A) stop buy order at \$17.
 - B) limit order to buy at \$17.
 - C) market order to buy at \$17.
-

Question #83 of 120

Question ID: 1214506

In the industry life cycle model, the threat of new entry into an industry is greatest during the:

- A) mature stage.
 - B) growth stage.
 - C) embryonic stage.
-

Question #84 of 120

Question ID: 1214510

An analyst develops the following information to value a common stock.

- Last year's earnings per share = \$4.00
- Real risk-free rate = 4%
- Inflation premium = 5%
- Return on equity (ROE), expected to remain constant in the future = 10%
- Dividend payout, expected to remain stable in the future = 30%
- Stock's beta = 1.4
- Expected market return = 14%

The value per share is *closest* to:

- A) \$14.39.
 - B) \$21.28.
 - C) \$31.39.
-

Question #85 of 120

Question ID: 1214509

At the end of the last 12-month period, Romano's Italian Foods had net income of \$16.68 million and equity of \$115 million. Romano's declared a \$7.5 million dividend for the year. Using internally generated funds, Romano's can grow its equity by approximately:

- A) 8.0% per year.
 - B) 10.0% per year.
 - C) 14.5% per year.
-

Question #86 of 120

Question ID: 1214514

Questions 86 through 99 relate to Fixed Income. (21 minutes)

A bond pays a quarterly coupon of 8% minus one-half of annual 90-day LIBOR. This bond is *most accurately* classified as a:

- A) leveraged instrument.
 - B) participation instrument.
 - C) yield enhancement instrument.
-

Question #87 of 120

Question ID: 1214518

Which of the following mortgage-backed securities is *most likely* to feature credit tranching?

- A) Collateralized mortgage obligations.
 - B) Commercial mortgage-backed securities.
 - C) Agency residential mortgage-backed securities.
-

Question #88 of 120

Question ID: 1214511

A waterfall structure in a securitized bond issue:

- A) is a form of external credit enhancement.
 - B) allows the entire issue to obtain a better credit rating.
 - C) gives some bondholders a higher priority of claims than others.
-

Question #89 of 120

Question ID: 1214515

Bond X and Bond Y were issued at a premium to par value three years ago. Bond X matures in five years, and Bond Y matures in ten years. Both bonds carry the same credit rating. Bond X has a coupon of 7.25%, and Bond Y has a coupon of 8.00%. If the yield to maturity for both bonds is 7.60% today:

- A) both bonds are priced at a premium.

- B) Bond X is priced at a premium, and Bond Y is priced at a discount.
 - C) Bond X is priced at a discount, and Bond Y is priced at a premium.
-

Question #90 of 120

Question ID: 1214519

A synthetic collateralized debt obligation is backed by a portfolio of:

- A) credit default swaps.
 - B) structured securities.
 - C) bonds and other CDOs.
-

Question #91 of 120

Question ID: 1214516

Which of the following forward rates can be used to construct a forward yield curve?

- A) 1-year and 2-year forward rates one year from now.
 - B) 1-year forward rates one year and two years from now.
 - C) 1-year forward rate one year from now and 2-year forward rate two years from now.
-

Question #92 of 120

Question ID: 1214513

With respect to fixed income markets, the "grey market" refers to trading in:

- A) bearer bonds.
 - B) bonds that have not yet been issued.
 - C) bonds that were issued in private placements.
-

Question #93 of 120

Question ID: 1214521

Annual Macaulay duration is *least accurately* interpreted as the:

- A) weighted average number of years until a bond's cash flows are scheduled to be paid.
 - B) approximate percentage change in a bond's value for a 1% change in its yield to maturity.
 - C) investment horizon at which a bond's market price risk and reinvestment risk exactly offset.
-

Question #94 of 120

Question ID: 1214520

Chris Renburg owns the following portfolio of option-free bonds:

Par value	Full price	Duration
\$3,000,000	\$2,400,000	4.625
\$3,500,000	\$3,600,000	7.322
<u>\$1,500,000</u>	<u>\$1,200,000</u>	9.300
\$8,000,000	\$7,200,000	

The duration of Renburg's bond portfolio is *closest* to:

- A) 6.6.
- B) 6.8.
- C) 7.0.

Question #95 of 120

Question ID: 1214524

For bonds of the same credit rating, compared to corporate bonds, the default rate for municipal bonds has historically been:

- A) lower.
- B) higher.
- C) the same.

Question #96 of 120

Question ID: 1214523

Ann Lloyd, CFA, observes that a 3-year senior unsecured bond of Hawk, Inc. has a rating of Baa3/BBB– and a 3-year senior unsecured bond of Osprey, Inc. has a rating of Ba1/BB+. Based only on this information, Lloyd can *most appropriately* conclude that:

- A) credit risk is greater for the Osprey bond than for the Hawk bond.
- B) loss severity is greater for the Osprey bond than for the Hawk bond.
- C) the Hawk bond is investment grade and the Osprey bond is non-investment grade.

Question #97 of 120

Question ID: 1214512

Contingent convertible bonds are described *most accurately* as those which, if a specified event occurs:

- A) become convertible to equity.
 - B) convert automatically to equity.
 - C) increase the equity conversion ratio.
-

Question #98 of 120

Question ID: 1214517

If a callable bond has an option-adjusted spread (OAS) of 75 basis points, this *most likely* suggests:

- A) the bond has a zero-volatility spread greater than 75 basis points.
 - B) the implied cost of the call option is the bond's nominal spread minus 75 basis points.
 - C) the 75 basis points represent the investor's compensation for credit risk, liquidity risk, and volatility risk.
-

Question #99 of 120

Question ID: 1214522

Wendy Jones, CFA, is reviewing a current bond holding. The bond's duration is 10 and its convexity is 200. Jones believes that interest rates will decrease by 100 basis points. If Jones's forecast is accurate, the bond's price will change by approximately:

- A) -8.0%.
 - B) +8.0%.
 - C) +11.0%.
-

Question #100 of 120

Question ID: 1214531

Questions 100 through 106 relate to Derivatives. (10.5 minutes)

In a one-period binomial model for option pricing, the probabilities of an up-move or a down-move are:

- A) equal.
 - B) assumed by the modeler.
 - C) calculated from the model inputs.
-

Question #101 of 120

Question ID: 1214525

Roland Carlson owns a portfolio of large capitalization stocks. Carlson has a positive long-term outlook for the stock market, but would like to protect his portfolio from any sudden declines in the stock market, without selling his holdings. The *most likely* way for Carlson to achieve his objective of limiting the downside risk of his portfolio is to:

- A) sell put options on the S&P 500.
 - B) sell an S&P 500 futures contract.
 - C) buy an S&P 500 forward contract.
-

Question #102 of 120

Question ID: 1214529

The time value of a put option on an asset that provides no cash flows would *most likely* be increased by:

- A) an increase in the exercise price.
 - B) an increase in the asset's price volatility.
 - C) a decrease in the value of the underlying asset.
-

Question #103 of 120

Question ID: 1214528

At time t , prior to its settlement date at time T , the value V_t of a long forward with a price of F will be related to the spot price, S , of an asset that has a zero net cost of carry by:

- A) $V_t = F - S/(1 + Rf)^{(T-t)}$
 - B) $V_t = (S - F)/(1 + Rf)^{(T-t)}$
 - C) $V_t = S - F/(1 + Rf)^{(T-t)}$
-

Question #104 of 120

Question ID: 1214527

A put option with an exercise price of \$75 sells for a premium of \$10. At expiration, the put buyer may experience a loss:

- A) of as much as \$10.
 - B) of as much as \$65.
 - C) that is theoretically unlimited.
-

Question #105 of 120

Question ID: 1214526

A financial instrument with a payoff that depends on a specified event occurring is *most accurately* described as:

- A) an option.
 - B) a default swap.
 - C) a contingent claim.
-

Question #106 of 120

Question ID: 1214530

An investor uses options on a stock to create a synthetic short position in a risk-free bond that will pay the exercise price at option expiration. To create this position, the investor will buy:

- A) a put option.
 - B) a call option.
 - C) the underlying stock.
-

Question #107 of 120

Question ID: 1214532

Questions 107 through 113 relate to Alternative Investments. (10.5 minutes)

A leveraged buyout fund is evaluating Siena Company relative to its peer companies. Siena is *most likely* a good candidate for a management buy-in if it has:

- A) higher cash flow and less capable managers than its peers.
 - B) lower cash flow and more capable managers than its peers.
 - C) higher cash flow and more capable managers than its peers.
-

Question #108 of 120

Question ID: 1214533

The value of an existing single-family home used for residential purposes will *most likely* be calculated using the:

- A) cost approach.
 - B) income approach.
 - C) sales comparison approach.
-

Question #109 of 120

Question ID: 1214534

An investment in a hedge fund with a 2-and-20 fee structure has increased in value each period and earned a return of 8% net of management fees in 20x7. Under which of the following provisions would incentive fees for 20x7 be the highest?

- A) 5% hard hurdle rate and a high water mark provision.
 - B) 6% soft hurdle rate and a high water mark provision.
 - C) 7% hard hurdle rate and no high water mark provision.
-

Question #110 of 120

Question ID: 1214535

Because of survivorship bias, hedge fund data are *most likely* to:

- A) overstate returns and overstate risk.
 - B) overstate returns and understate risk.
 - C) understate returns and overstate risk.
-

Question #111 of 120

Question ID: 1214536

A commodity market is in contango if the spot price is:

- A) higher than futures prices.
 - B) equal to futures prices.
 - C) lower than futures prices.
-

Question #112 of 120

Question ID: 1214537

Infrastructure investments as an asset class:

- A) are illiquid.
 - B) include social infrastructure.
 - C) refer to assets operated by the entity constructing the asset.
-

Question #113 of 120

Question ID: 1214538

A hedge fund that employs a fundamental growth strategy using equity securities is *most likely* to seek out shares of companies that are:

- A) undervalued only.
 - B) either undervalued or overvalued.
 - C) growing revenues and earnings rapidly.
-

Question #114 of 120

Question ID: 1214545

Questions 114 through 120 relate to Portfolio Management. (10.5 minutes)

Which of the following fintech applications is *most likely* to use distributed ledger technology?

- A) Real-time clearing and settlement of securities trades.
 - B) High-frequency trading to take advantage of intraday price discrepancies.
 - C) Automated review of employees' voice communications to detect misconduct.
-

Question #115 of 120

Question ID: 1214540

Compared to a normal distribution, historical returns on major asset classes in developed markets have exhibited:

- A) less frequent large positive deviations.
 - B) more frequent large negative deviations.
 - C) the expected frequency of large deviations.
-

Question #116 of 120

Question ID: 1214539

Which of the following pooled investments is likely to require the smallest minimum investment amount?

- A) Wrap fee account.
 - B) Market neutral fund.
 - C) Closed-end mutual fund.
-

Question #117 of 120

Question ID: 1214542

All portfolios that lie on the capital market line:

- A) contain the same mix of risky assets unless only the risk-free asset is held.
 - B) have some unsystematic risk unless only the risk-free asset is held.
 - C) contain at least some positive allocation to the risk-free asset.
-

Question #118 of 120

Question ID: 1214544

From a high of \$180, a stock price decreases to a low of \$100 and then begins increasing. A technical analyst states that she expects resistance levels to emerge at \$140, \$150, and \$153.33. This analyst is *most likely* forecasting these resistance levels based on:

- A) Fibonacci numbers.
 - B) an inverse head and shoulders pattern.
 - C) moving average convergence/divergence lines.
-

Question #119 of 120

Question ID: 1214543

Stephanie Dell is evaluating two stocks (X and Y) using the capital asset pricing model. Dell predicts that the betas for the two stocks will be identical but that the unsystematic risk for Stock X will be much higher than for Stock Y. According to the capital asset pricing model, in equilibrium:

- A) Stock X will have a higher expected return than Stock Y but a standard deviation equal to Stock Y.
 - B) Stock X will have a higher standard deviation than Stock Y but an expected return equal to Stock Y.
 - C) both the expected return and standard deviation for Stock X will be higher than Stock Y.
-

Question #120 of 120

Question ID: 1214541

Boswell is less risk-averse than Johnson. Using the same capital allocation line for Boswell and Johnson, Boswell will have:

- A)** a higher risk aversion coefficient than Johnson.
- B)** steeper risk-return indifference curves than Johnson.
- C)** an optimal portfolio with a higher expected return than Johnson.